1. Intro to Economics

Friday, 21 November 2025 11:54 AM



Introduction to Economics

What Is Economics?

Economics is a social science that focuses on the production, distribution, and consumption of goods and services. The study of economics is primarily concerned with analysing the choices that individuals, businesses, governments, and nations make to allocate limited resources. Economics has ramifications on a wide range of other fields, including politics, psychology, business, and law.

Understanding Economics

Assuming humans have unlimited wants within a world of limited means, economists analyse how resources are allocated for production, distribution, and consumption.

The study of microeconomics focuses on the choices of individuals and businesses, and macroeconomics concentrates on the behaviour of the economy on an aggregate level.

One of the earliest recorded economists was the 8th-century B.C. Greek farmer and poet Hesiod who wrote that labour, materials, and time needed to be allocated efficiently to overcome scarcity. The publication of Adam Smith's 1776 book *An Inquiry Into the Nature and Causes of the Wealth of Nations* sparked the beginning of the current Western contemporary economic theories.1

Microeconomics

Microeconomics studies how individual consumers and firms make decisions to allocate resources. Whether a single person, a household, or a business, economists may analyse how these entities respond to changes in price and why they demand what they do at particular price levels.

Microeconomics analyses how and why goods are valued differently, how individuals make financial decisions, and how they trade, coordinate, and cooperate.

Within the dynamics of supply and demand, the costs of producing goods and services, and how labour is divided and allocated, microeconomics studies how businesses are organized and how individuals approach uncertainty and risk in their decision-making.

Macroeconomics

Macroeconomics is the branch of economics that studies the behaviour and performance of an economy as a whole. Its primary focus is recurrent economic cycles and broad economic growth and development.

It focuses on foreign trade, government fiscal and monetary policy, unemployment rates, the level of inflation, interest rates, the growth of total production output, and business cycles that result in expansions, booms, recessions, and depressions.

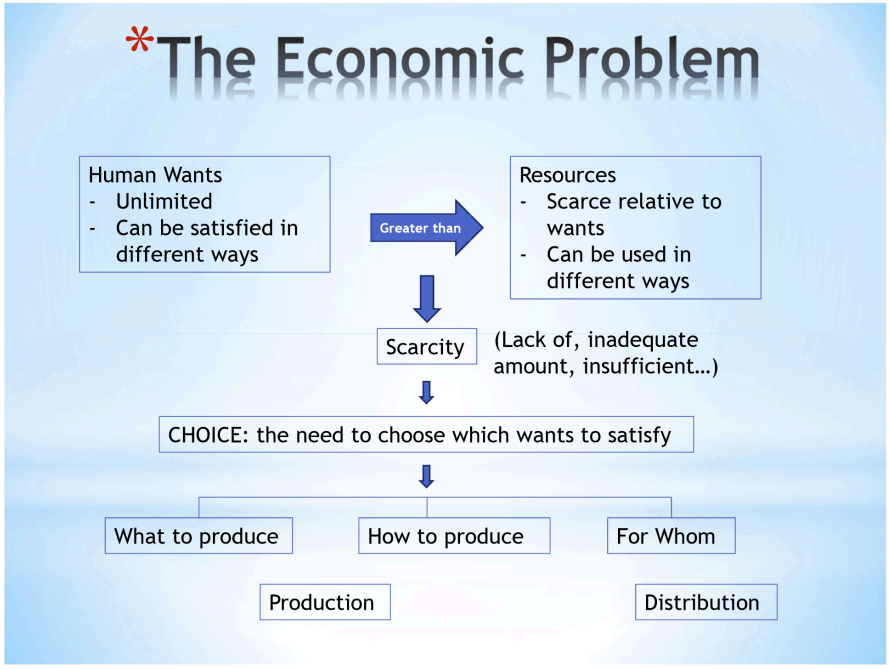
Using aggregate indicators, economists use macroeconomic models to help formulate economic policies and strategies.

What Is the Role of an Economist?

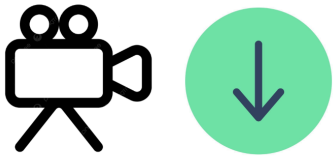
An economist studies the relationship between a society's resources and its production or output, and their opinions help shape economic policies related to interest rates, tax laws, employment programs, international trade agreements, and corporate strategies.

Economists analyse economic indicators such as gross domestic product and the consumer price index to identify potential trends or make economic forecasts.

☆ The Economic Problem and Scarcity



☆ Scarcity



Finish watching at 4m36s

Thinking Like An Economist- Macro/MicroTopic 1.1



Thinking Like An Economist- Macro/MicroTopic 1.1

Jacob Clifford

The economic problem exists because of the issue of scarcity. Scarcity refers to the limited availability of resources relative to unlimited human wants and needs.

Example: The government wants more hospitals, schools and roads, but cannot fund all three fully.

Wants vs Needs
• Wants = unlimited desires (new phone, holidays)
• Needs = essentials for survival (food, water, shelter)

This forces individuals, businesses, and governments to make choices about how to allocate those resources.
Why scarcity forces choice: Not enough resources → must prioritise.

Example: skilled workers, money, land, time, raw materials.

☆ Factors of Production

Watch on

What are factors of production
Factors of production are the resources needed to produce goods and services. Without these resources, businesses cannot operate or supply products to consumers.

There are four main factors of production.

1. Land

Land refers to all natural resources used in production. This includes land itself and anything that comes from nature. Examples include farmland, water, forests, minerals, coal, oil, and wind for wind power.

$ Income return from land is rent. Rent is the payment made for using natural resources.

2. Labour
Labour is the human effort used in the production process. This includes both physical and mental work. Examples include teachers, builders, doctors, factory workers, and shop assistants.

$ Income return from labour is wages or salaries. This is the payment workers receive for their work.

3. Capital
Capital refers to man-made resources used to produce other goods and services. These items help production but are not finished consumer products. Examples include machinery, tools, factories, computers, delivery trucks, and equipment.

$ Income return from capital is interest. Interest is earned when money or capital is lent or invested.

4. Enterprise/Entrepreneurship
Enterprise is the skill and willingness to take risks and combine the other factors of production to run a business. Examples include business owners, entrepreneurs, and managers who make decisions.

$ Income return from enterprise is profit. Profit is the reward for taking risks and successfully running a business.

✅ Complete the sentences below.

1. Factors of production are the _____ needed to produce goods and services.

Opportunity cost

Quick refresher: What is the economic problem?

……

……

As we cannot satisfy all of our wants (owing to the economic problem), we must make choices. When we make a choice about which want we are going to satisfy, it means we must miss out on satisfying some of our other wants. This is true not only for individuals, but also governments and businesses.

It is therefore said that in satisfying one want, we forgo the opportunity to satisfy another one. This is known as the ***opportunity cost.***

Match each activity with the most appropriate corresponding opportunity cost. Then, highlight which choice you would prefer.

Unpaid summer internship at a local newsroom	Spending 1 hr hanging out with friends
Building a set for the school play on Saturday	Working as a consultant earning $75,000-$200,000/yr. for 5 yrs
Taking HSC Economics	Buying a $15 burrito bowl
Attending medical school for 5 yrs	Taking HSC Chemistry
Buying a $15 chicken sandwich	Earning $15/hr working for an ice cream shop that hires students for May-August
Studying for 1 hr for an economics test	Going to an amusement park on Saturday with friends
Waiting 30 minutes in a long line for a free t-shirt	Spending 30 minutes watching funny videos

Opportunity Cost and Individuals

What is the key determinant of an individual's ability to satisfy their wants? In other words, what is the nature of their 'resources'?

……

Give an example of something you have purchased recently and the resultant opportunity cost of you making this purchase

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Opportunity Cost and the Government

What is the key determinant of the government's ability to satisfy the collective wants of society?

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Give an example of a recent government policy where they have allocated resources to an issue

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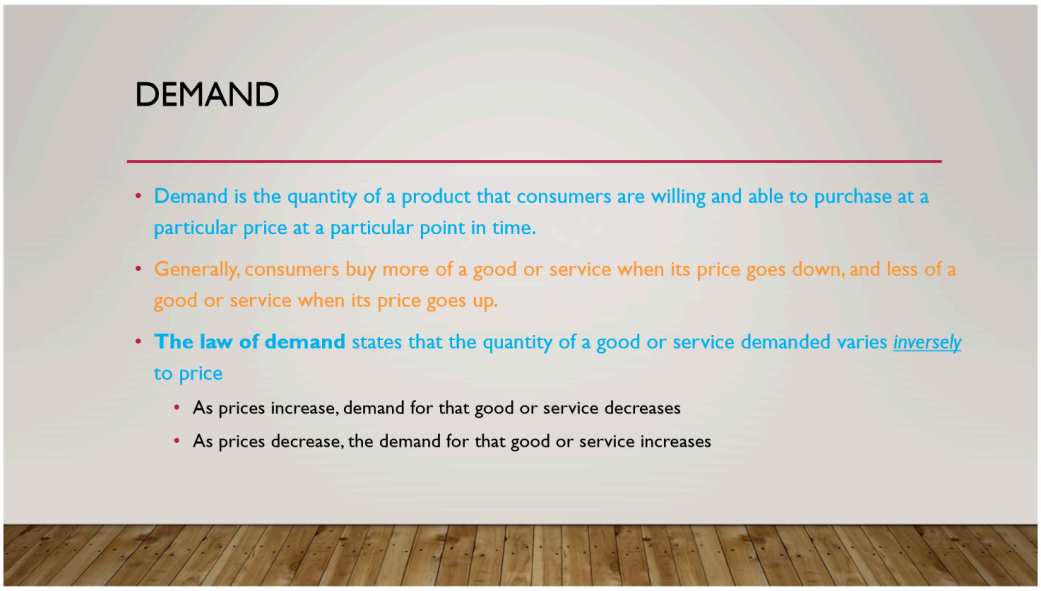
Give an example of a recent government policy where they have reduced resources to an issue

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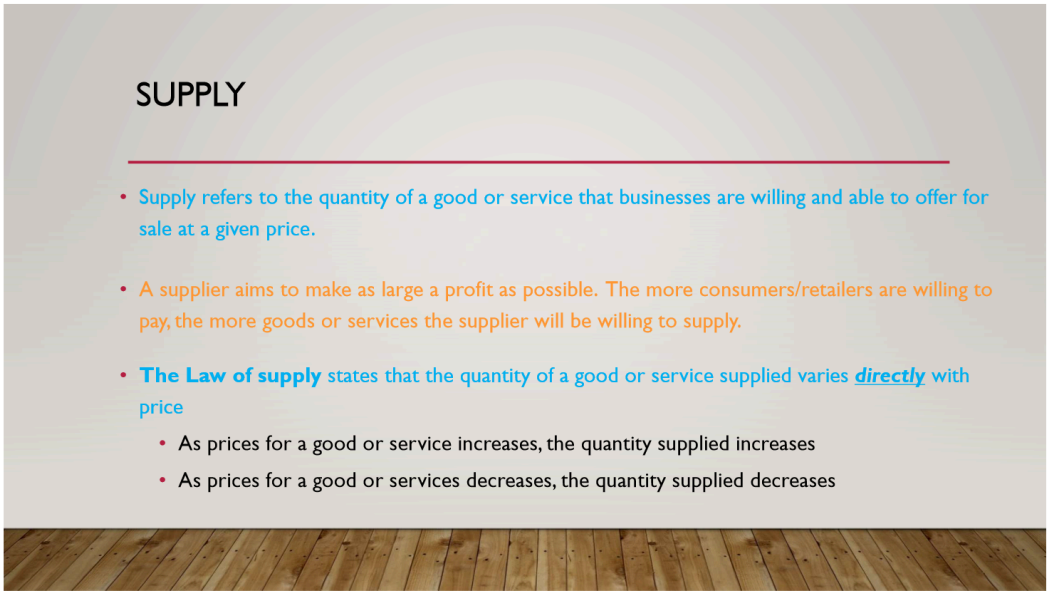
Write a sentence linking these two decisions with the concept of opportunity cost

……

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DEMAND
• Demand is the quantity of a product that consumers are willing and able to purchase at a particular price at a particular point in time.
• Generally, consumers buy more of a good or service when its price goes down, and less of a good or service when its price goes up.
• The law of demand states that the quantity of a good or service demanded varies inversely to price
• As prices increase, demand for that good or service decreases
• As prices decrease, the demand for that good or service increases

☆ Supply


SUPPLY
• Supply refers to the quantity of a good or service that businesses are willing and able to offer for sale at a given price.
• A supplier aims to make as large a profit as possible. The more consumers/retailers are willing to pay, the more goods or services the supplier will be willing to supply.
• The Law of supply states that the quantity of a good or service supplied varies directly with price
• As prices for a good or service increases, the quantity supplied increases
• As prices for a good or services decreases, the quantity supplied decreases